
NETFLIX (NFLX) — IB-LEVEL DCF + COMPS + RISK VALUATION

[1/9] Pulling Netflix financial data from yfinance...

Periods loaded: ['2025-12-31', '2024-12-31', '2023-12-31', '2022-12-31']

[2/9] Computing financial ratios...

Year	Revenue	EBIT%	NI%	FCF	ROIC	FCF Conv
2025	\$ 45.2B	29.5%	24.3%	\$ 9.46B	42.5%	86.2%
2024	\$ 39.0B	26.7%	22.3%	\$ 6.92B	33.4%	79.5%
2023	\$ 33.7B	20.6%	16.0%	\$ 6.93B	24.1%	128.1%
2022	\$ 31.6B	17.8%	14.2%	\$ 1.62B	21.7%	36.0%

[3/9] Computing WACC...

— WACC Build-Up —

Risk-Free Rate (Rf): 4.30% [US 10Y Treasury, Apr 2026]

Equity Risk Premium (ERP): 5.50% [Damodaran, Jan 2026]

Beta (beta): 1.669 [yfinance, 5Y monthly]

Cost of Equity (Ke): 13.48%

Pre-tax Cost of Debt: 5.37%

After-tax Cost of Debt (Kd): 4.03%

Equity Weight (E/V): 96.4%

Debt Weight (D/V): 3.6%

WACC: 13.14%

[4/9] Running three-scenario DCF...

FCF Base Year (FY2025): \$9.46B

Scenario	FCF Gr	Term g	WACC	EV	Equity	\$/Sh
Bear	6%	2.0%	14.14%	\$ 93.0B	\$ 87.6B	\$ 202.24
Base	8%	2.5%	13.14%	\$ 113.5B	\$ 108.0B	\$ 249.50
Bull	12%	3.0%	12.14%	\$ 153.1B	\$ 147.6B	\$ 340.97

Market: \$92.44

Base Intrinsic: \$249.50

Implied Upside: 169.9%

[5/9] Building sensitivity table (WACC x Terminal Growth Rate)...

Intrinsic Value / Share – WACC (rows) x Terminal Growth (cols)						
WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%	
10.0%	\$ 329	\$ 345	\$ 363	\$ 384	\$ 408	
11.0%	\$ 292	\$ 304	\$ 318	\$ 333	\$ 351	
12.0%	\$ 262	\$ 271	\$ 282	\$ 294	\$ 307	
13.0%	\$ 237	\$ 245	\$ 253	\$ 263	\$ 273	
14.0%	\$ 216	\$ 222	\$ 229	\$ 237	\$ 245	

< = closest to base case (\$250)

[6/9] Pulling comparable companies data...

NFLX Netflix OK

DIS Disney OK

WBD Warner Bros OK

PARA Paramount OK

SPOT Spotify OK

AMZN Amazon OK

Ticker Name		Mkt Cap	EV/EBITDA	EV/Rev	Fwd PE	Rev Gr	Margin	Beta	
NFLX	nan	\$389B	27.7x	8.4x	24.1x	16.2%	28.5%	1.67	<-- NFLX
DIS	nan	\$182B	11.9x	2.4x	14.0x	5.2%	12.8%	1.44	
WBD	nan	\$68B	13.6x	2.7x	-1623.9x	-5.7%	1.9%	1.64	
PARA	nan	N/A	N/A	N/A	N/A	N/A	N/A	N/A	
SPOT	nan	\$107B	44.6x	5.8x	26.9x	6.8%	12.9%	1.70	
AMZN	nan	\$2839B	19.2x	3.9x	27.9x	13.6%	10.8%	1.38	

— Comps-Implied Prices —

Peer Median EV/EBITDA: 16.4x -> Implied: \$504.41

Peer Median EV/Revenue: 3.3x -> Implied: \$330.87

Peer Median Fwd P/E: 20.5x -> Implied: \$518.63

Average Comps Implied: \$451.31

Current Market Price: \$92.44

[7/9] Running Monte Carlo simulation (10,000 trials)...

Monte Carlo Results (10,000 valid trials):

P5 (extreme bear): \$ 193.07

P25 (bear): \$ 224.63

P50 (median): \$ 251.01

P75 (bull): \$ 279.26

P95 (extreme bull): \$ 329.78

P(value > market): 100.0%

[8/9] Computing tornado analysis...

Assumption	Low	High	Swing
Terminal Growth Rate	\$241	\$ 259	\$ 17
Tax Rate	\$236	\$ 273	\$ 37
WACC	\$226	\$ 278	\$ 51
FCF Base Year (+/-10%)	\$223	\$ 276	\$ 52
FCF Growth Rate	\$220	\$ 282	\$ 62

[9/9] Generating charts...

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Saved: netflix_risk_analysis.png

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COMPLETE VALUATION SUMMARY – NETFLIX (NFLX)

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ASSUMPTIONS

Risk-Free Rate: 4.30% (US 10Y Treasury, Apr 2026)

Equity Risk Premium: 5.50% (Damodaran, Jan 2026)

Beta: 1.669

Cost of Equity (Ke): 13.48%

After-tax Cost of Debt: 4.03%

WACC (Base): 13.14%

FCF Growth (Base): 8.0% (conservative vs 3Y CAGR ~13%)

Terminal Growth (Base): 2.5%

Projection Period: 5 years

Shares Outstanding: 433M (Netflix 10-K FY2025)

DCF SCENARIOS

Bear Case: \$ 202.24 / share (6% FCF growth, 14.1% WACC)

Base Case: \$ 249.50 / share (8% FCF growth, 13.1% WACC)

Bull Case: \$ 340.97 / share (12% FCF growth, 12.1% WACC)

COMPARABLE COMPANIES

EV/EBITDA Implied: \$ 504.41 / share (peer median 16.4x)

EV/Revenue Implied: \$ 330.87 / share (peer median 3.3x)

Fwd P/E Implied: \$ 518.63 / share (peer median 20.5x)

Comps Average: \$ 451.31 / share

MONTE CARLO RISK (10,000 trials)

P5 (extreme bear): \$ 193.07 / share

P25 (bear): \$ 224.63 / share

P50 (median): \$ 251.01 / share

P75 (bull): \$ 279.26 / share

P95 (extreme bull): \$ 329.78 / share

P(value > market): 100.0%

MARKET COMPARISON

Current Price: \$ 92.44 / share

Base DCF vs Market: UNDERVALUED by 169.9%

Comps Avg vs Market: UNDERVALUED by 388.2%

TOP RISK DRIVERS (Tornado)

1. FCF Growth Rate Swing: \$62

2. FCF Base Year (+/-10%) Swing: \$52

3. WACC Swing: \$51

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Charts saved:

netflix_IB_valuation.png

netflix_comps_analysis.png

netflix_risk_analysis.png
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